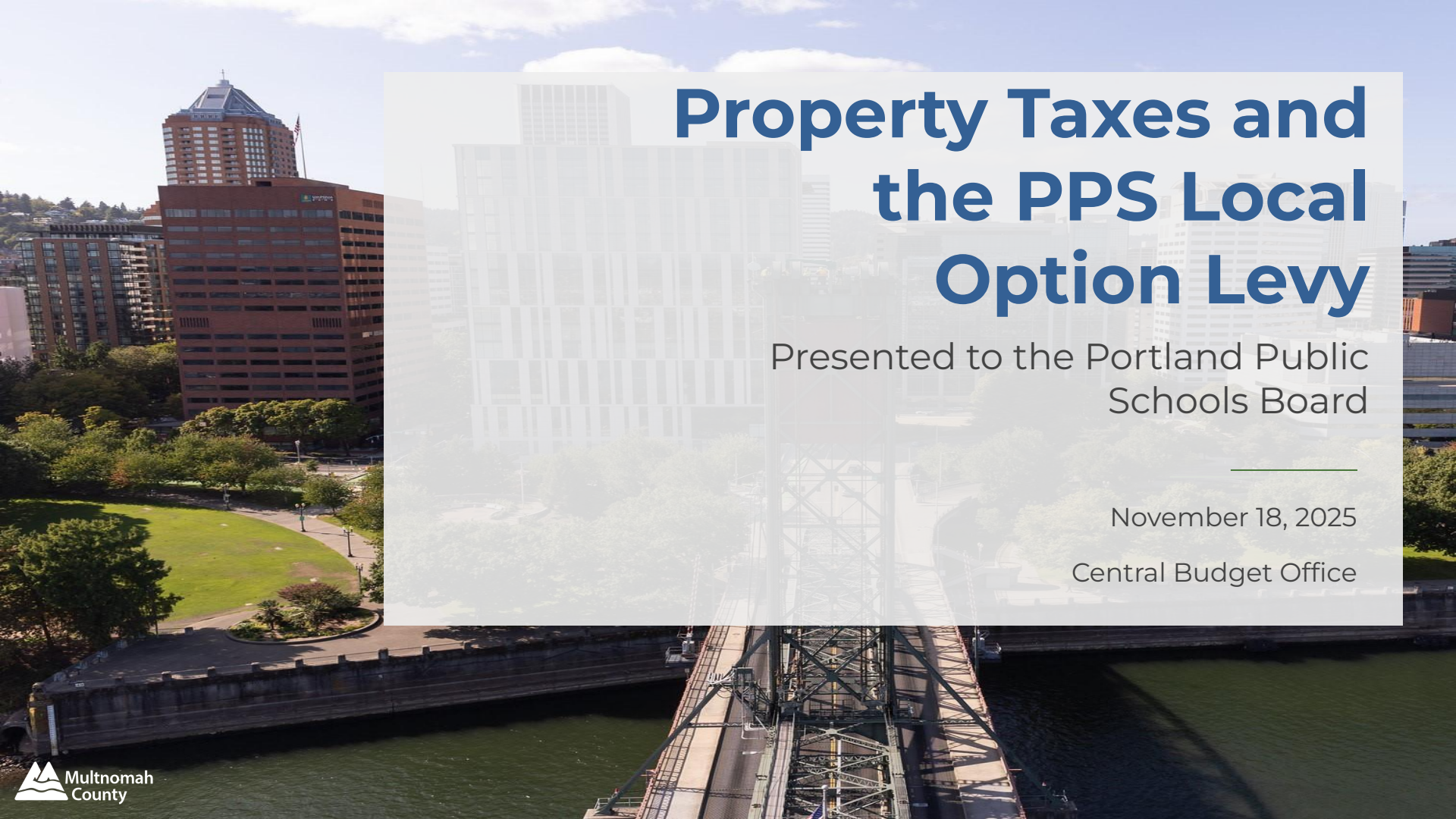


Property Taxes and the PPS Local Option Levy

Presented to the Portland Public Schools Board

November 18, 2025

Central Budget Office

Multnomah County



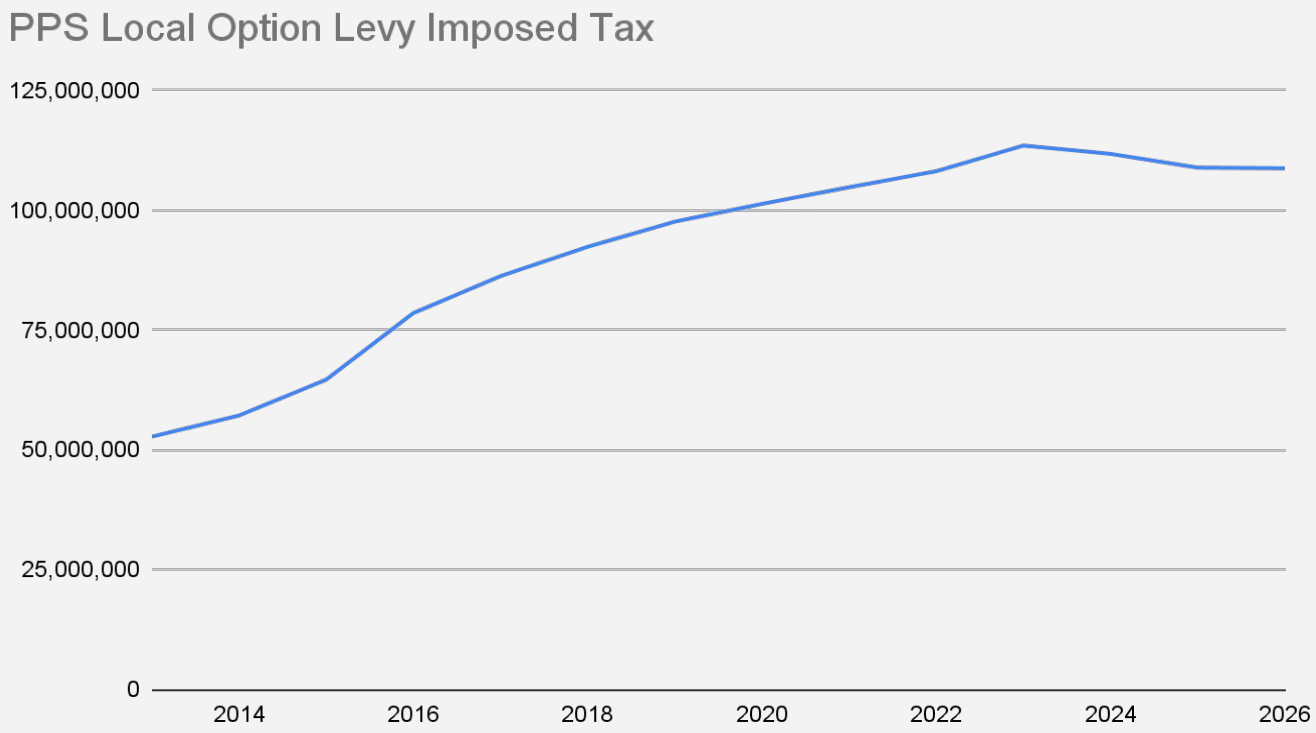
Agenda

1. PPS Local Option Levy Imposed Tax History
2. Residential Values
3. Property Tax Mechanism
4. Downtown Office Values
5. Inflation

Multnomah County

PPS Local Option Levy History

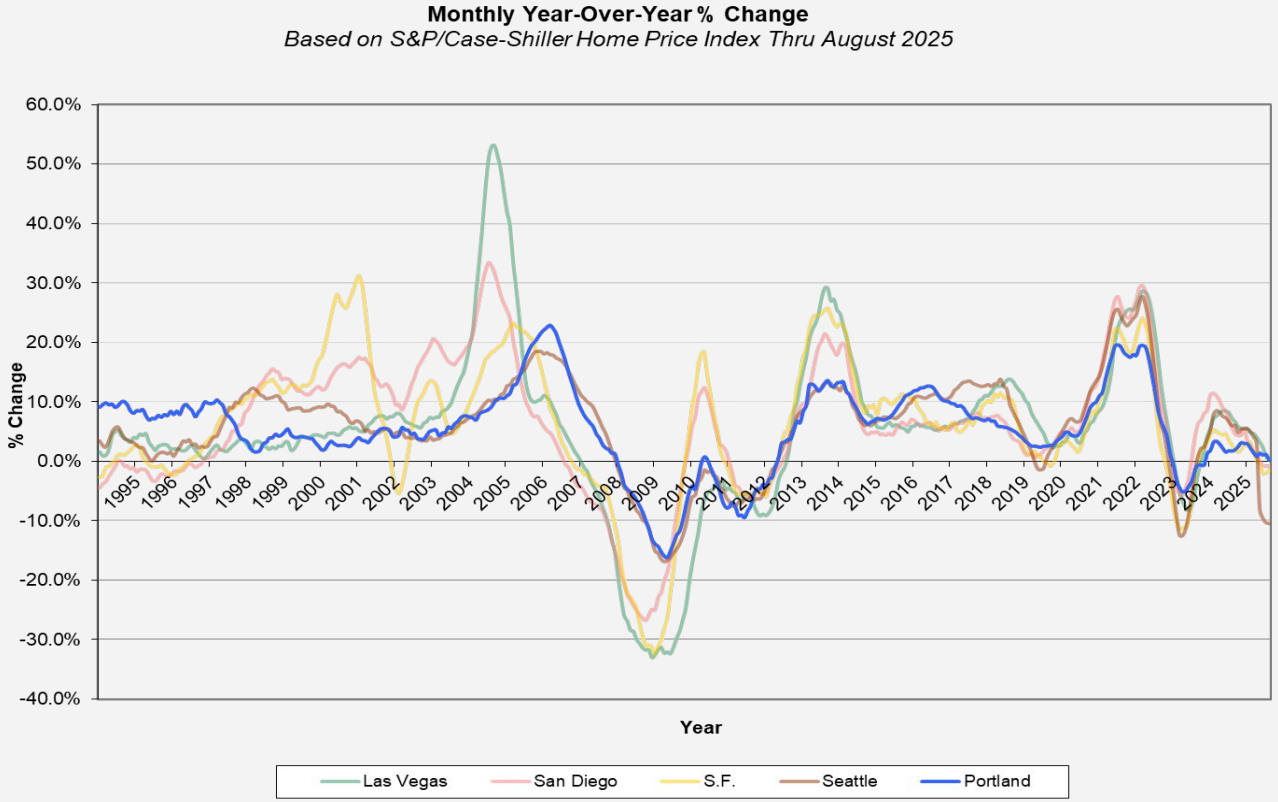
Imposed Tax



PPS Local Option Levy has experienced three years of decline

Residential Home Values

Case Shiller Home Price Index



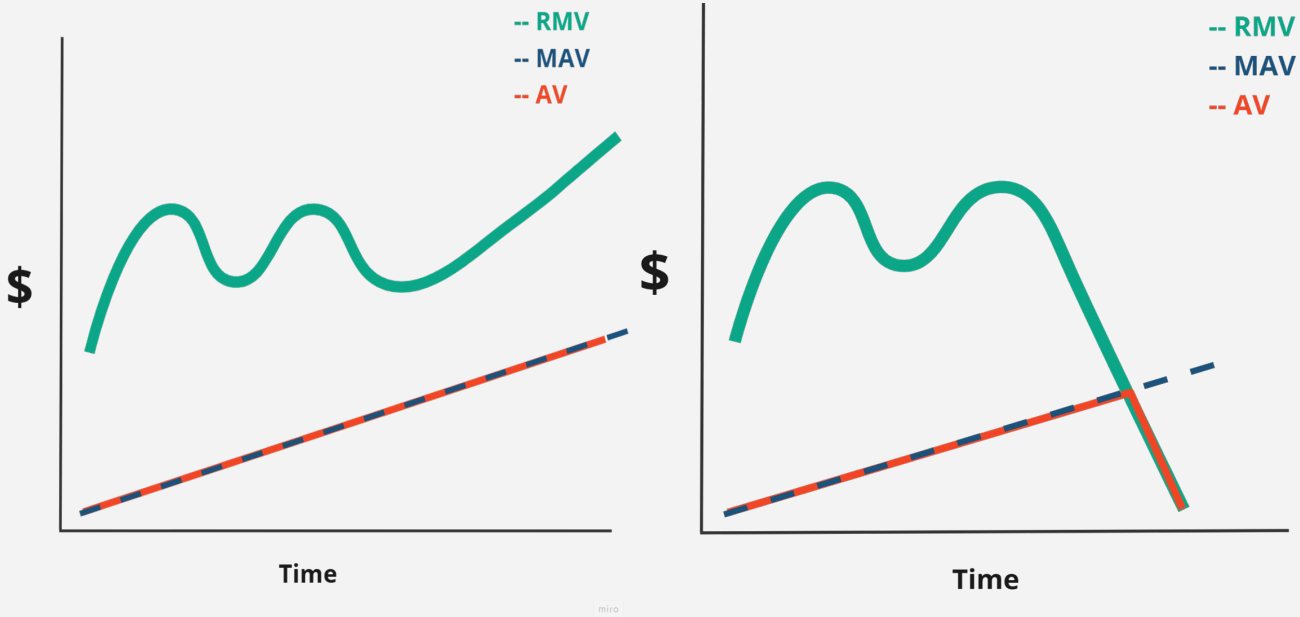
Residential Property is 59.2% of Total Assessed Value (AV)

Property Tax

Downtown Property Values

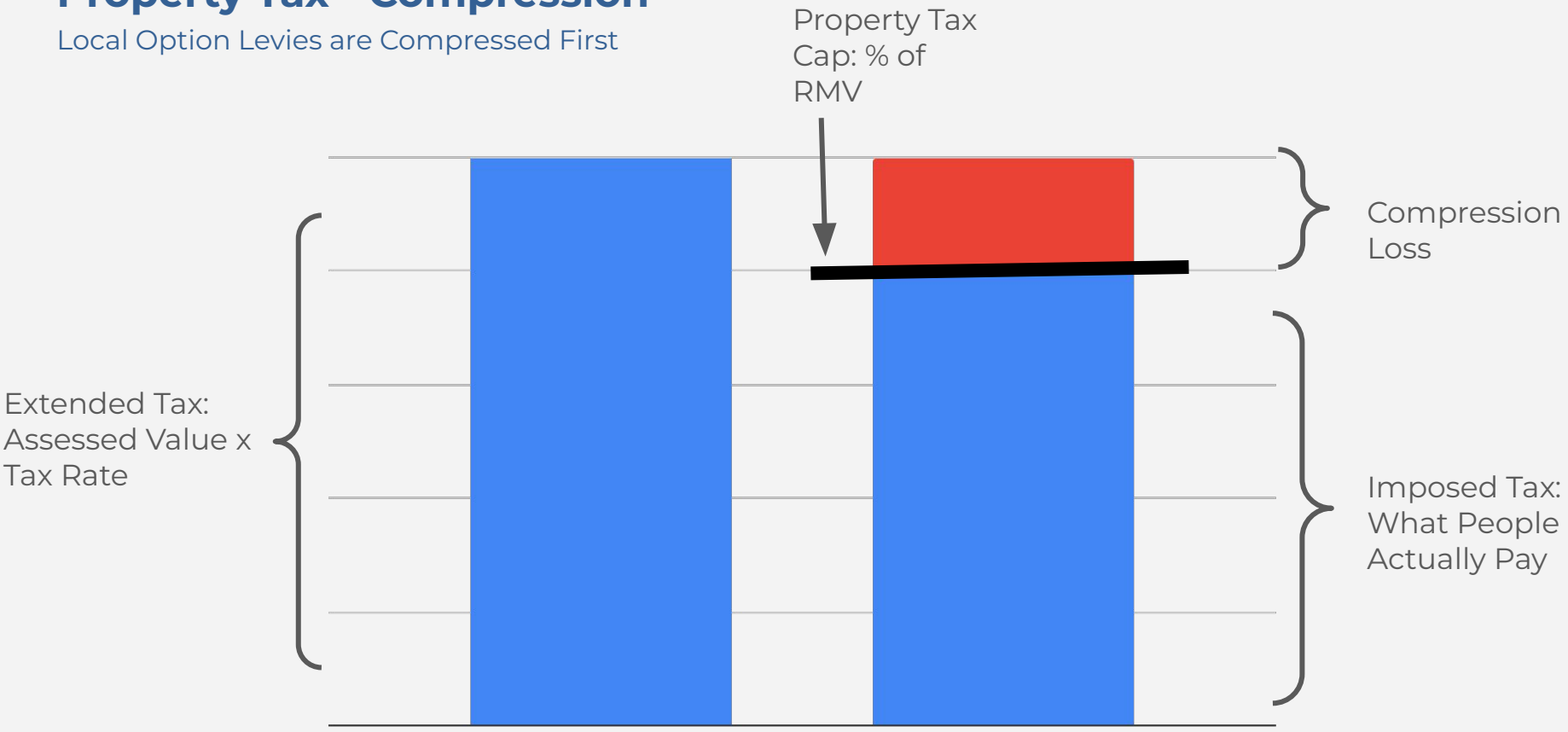
Tax Rate is applied to Assessed Value (AV). AV is the lesser of Real Market Value (RMV) and Maximum Assessed Value (MAV). MAV = AV for the vast majority of Multnomah County properties.

Rapid decline in Downtown RMVs is (in some cases) enough to pull down AV.



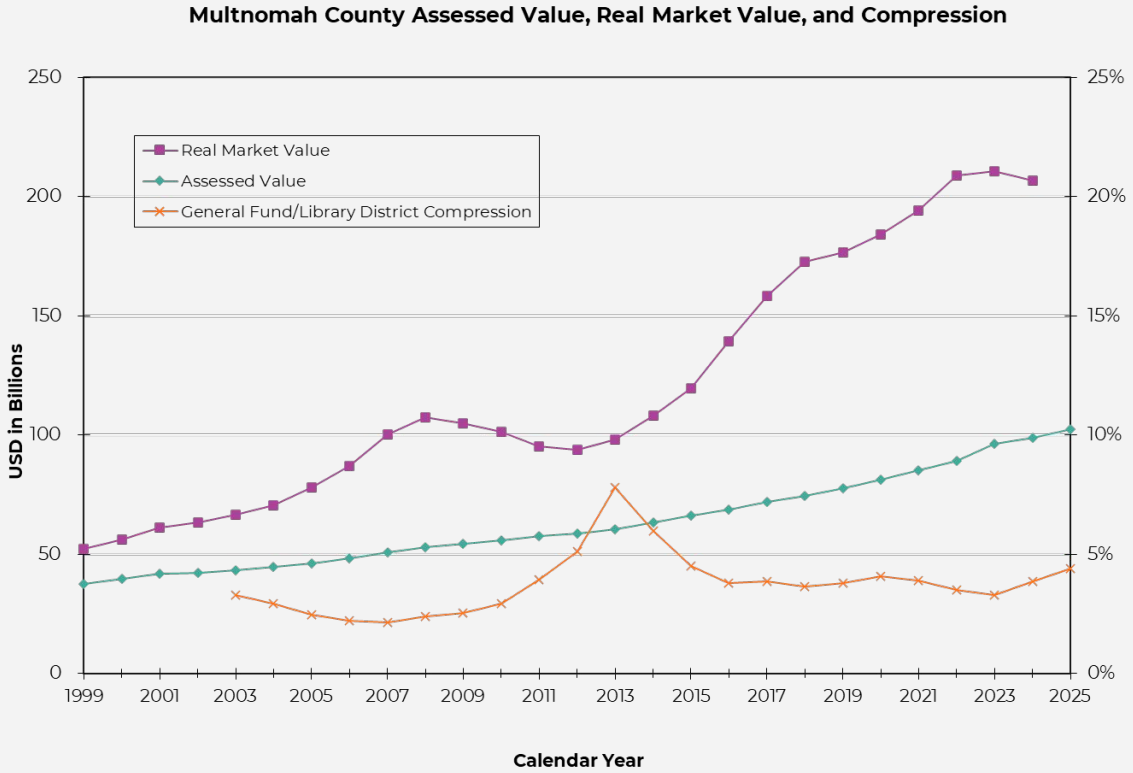
Property Tax - Compression

Local Option Levies are Compressed First



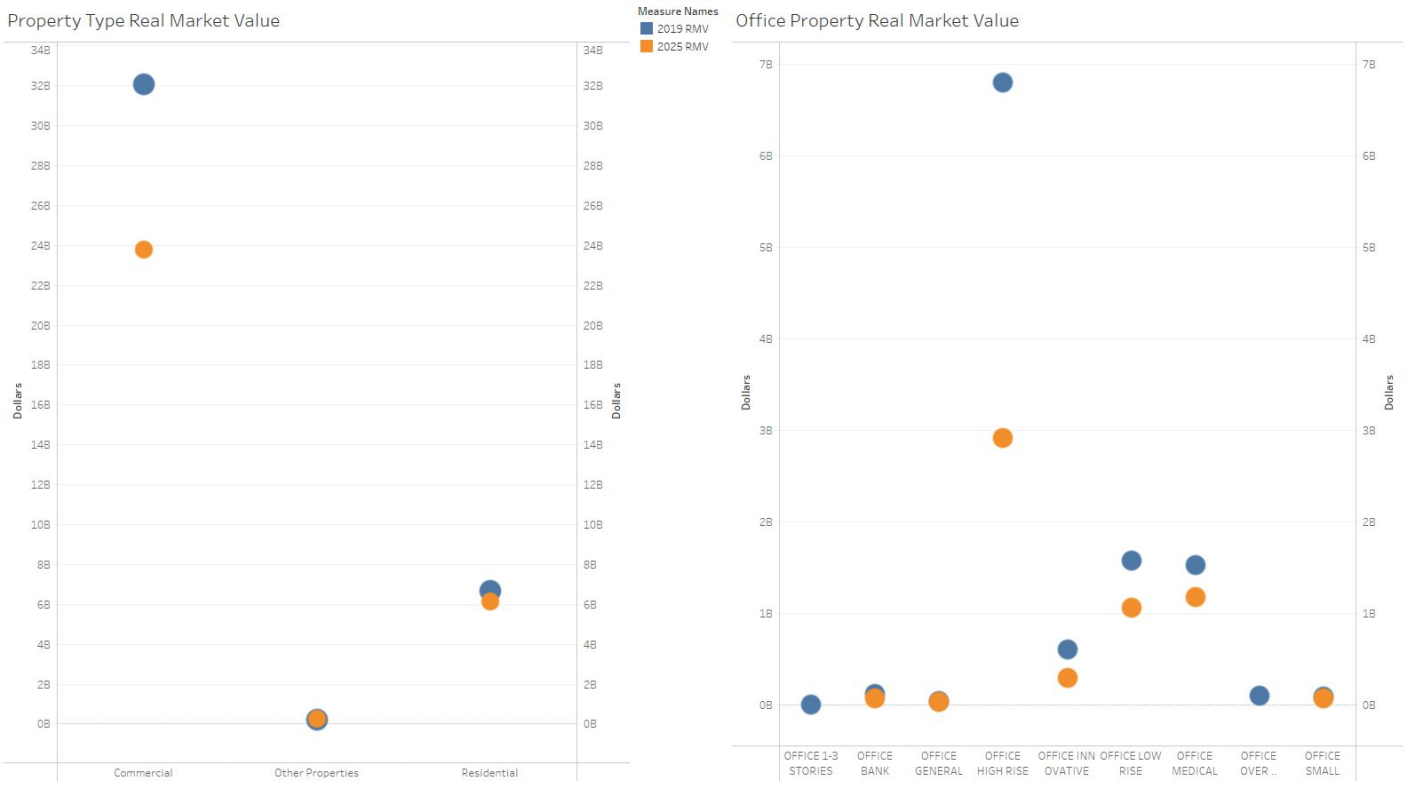
Property Tax

History of RMV, AV, and Compression in Multnomah County



Property Tax

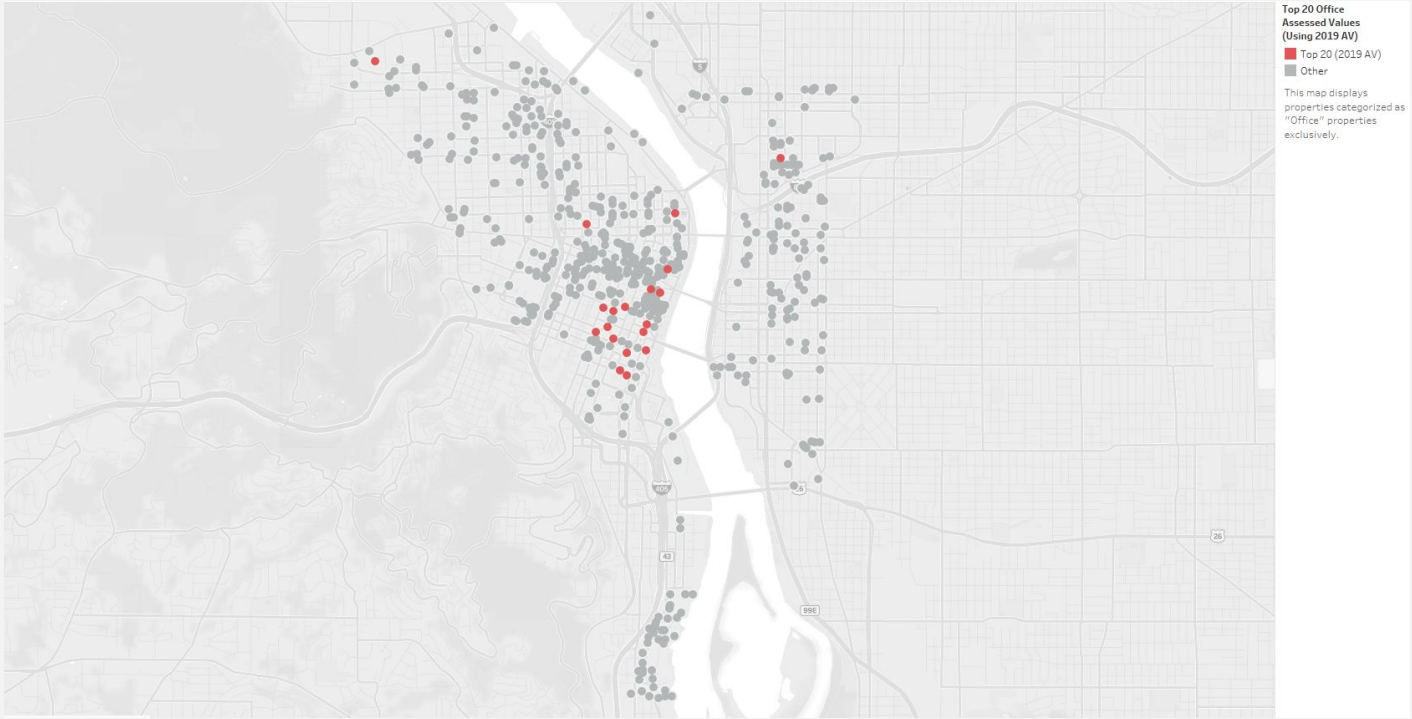
Change in RMV by Property Type



High Rise Office values driving declines

Property Tax

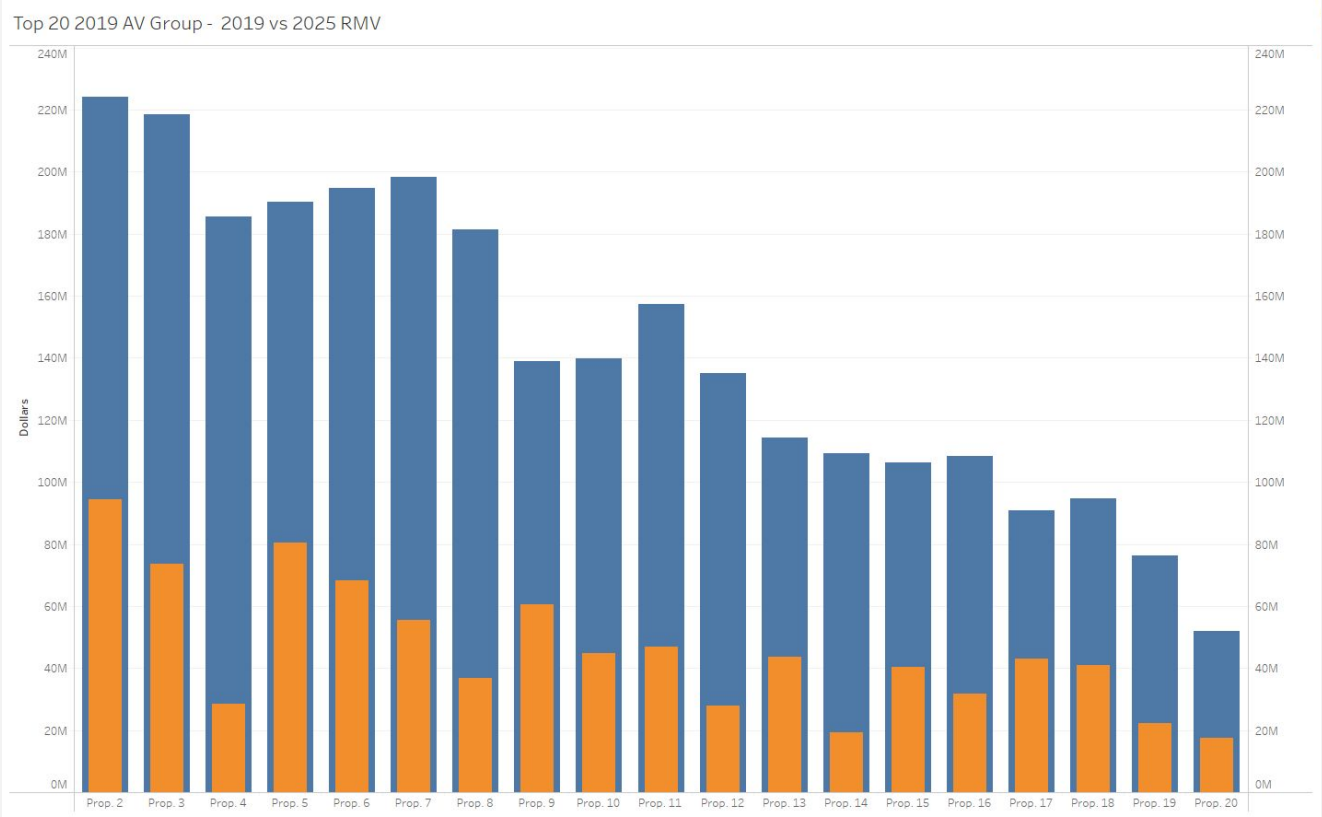
Location of Tax Lots with Largest RMV Change



Biggest impacts concentrated in the center of downtown

Property Tax

Real Market Value for 20 highest-value office properties has fallen since 2019



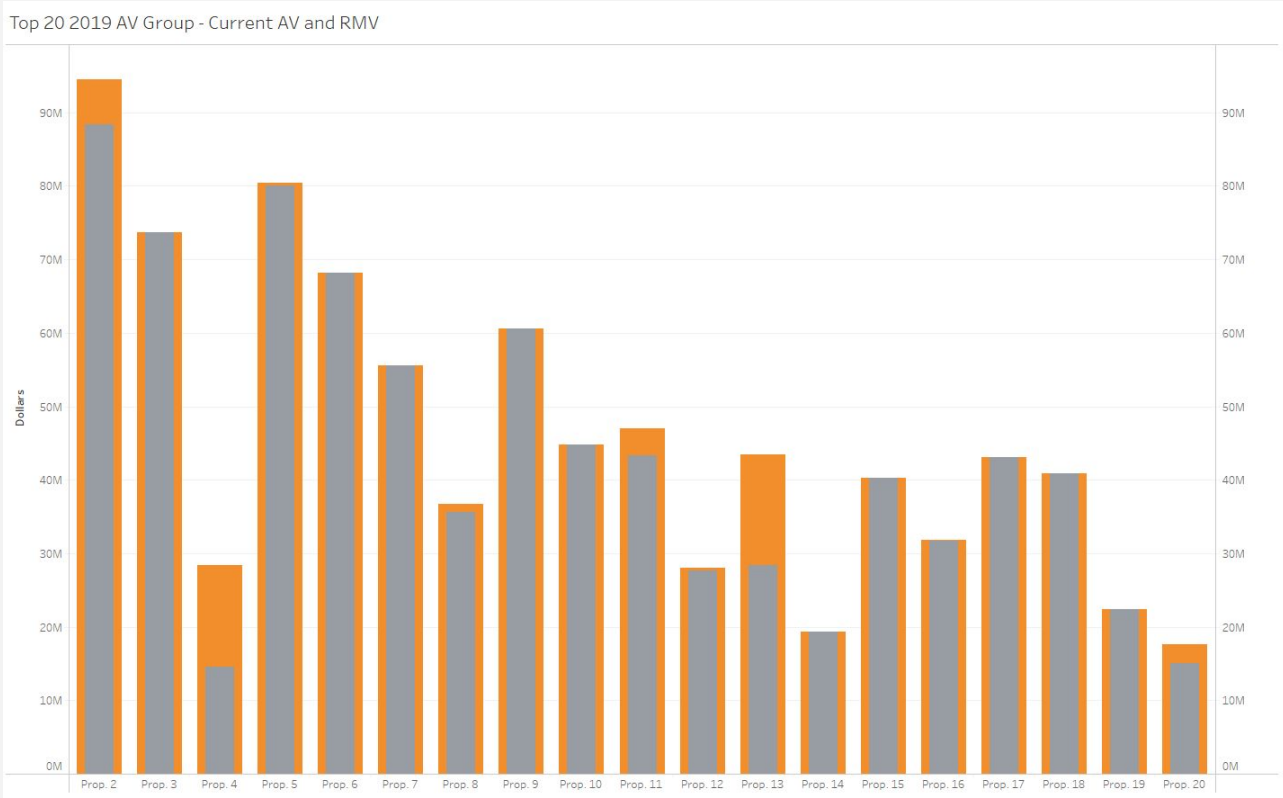
Real Market Value, 2019

Real Market Value, 2025

*Note: One of the Top 20 buildings was split into multiple lots on the 2025 tax roll and is no longer included.

Property Tax

For many offices, Real Market Value is near or equal to Assessed Value in 2025



Assessed Value, 2025

Real Market Value, 2025

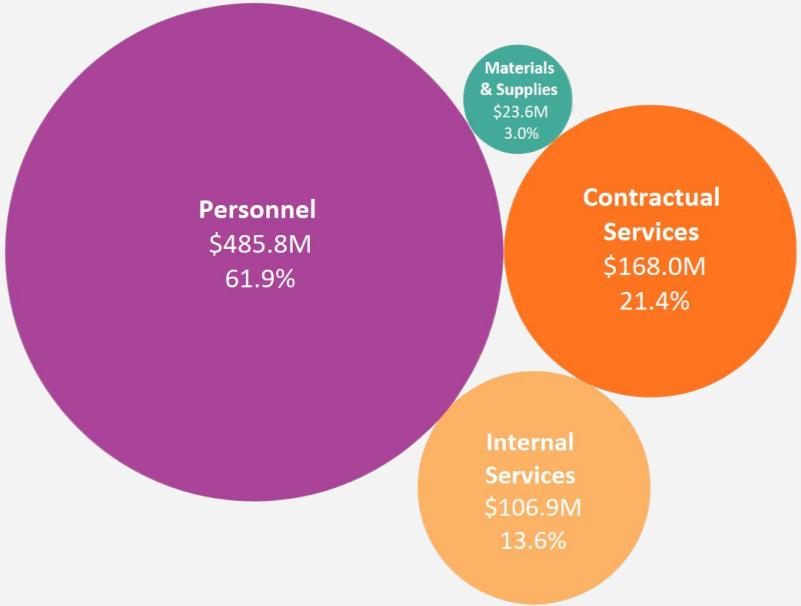
*Note: One of the Top 20 buildings was split into multiple lots on the 2025 tax roll and is no longer included.

FY 2027 Expenses for Multnomah County

Cost Drivers

Personnel/Labor Costs (change in rates)		**4.98%**
COLA	3.30%	
Step/Merit/Contract Changes	1.80%	
Medical/Dental	5.00%	
PERS	0.57%	
Retiree Medical	-0.50%	
Liability/Workers Comp/ TriMet	0.01%	
Materials and Supplies		**3.30%**
Contractual Services		**3.30%**
Internal Services*		**4.96%**

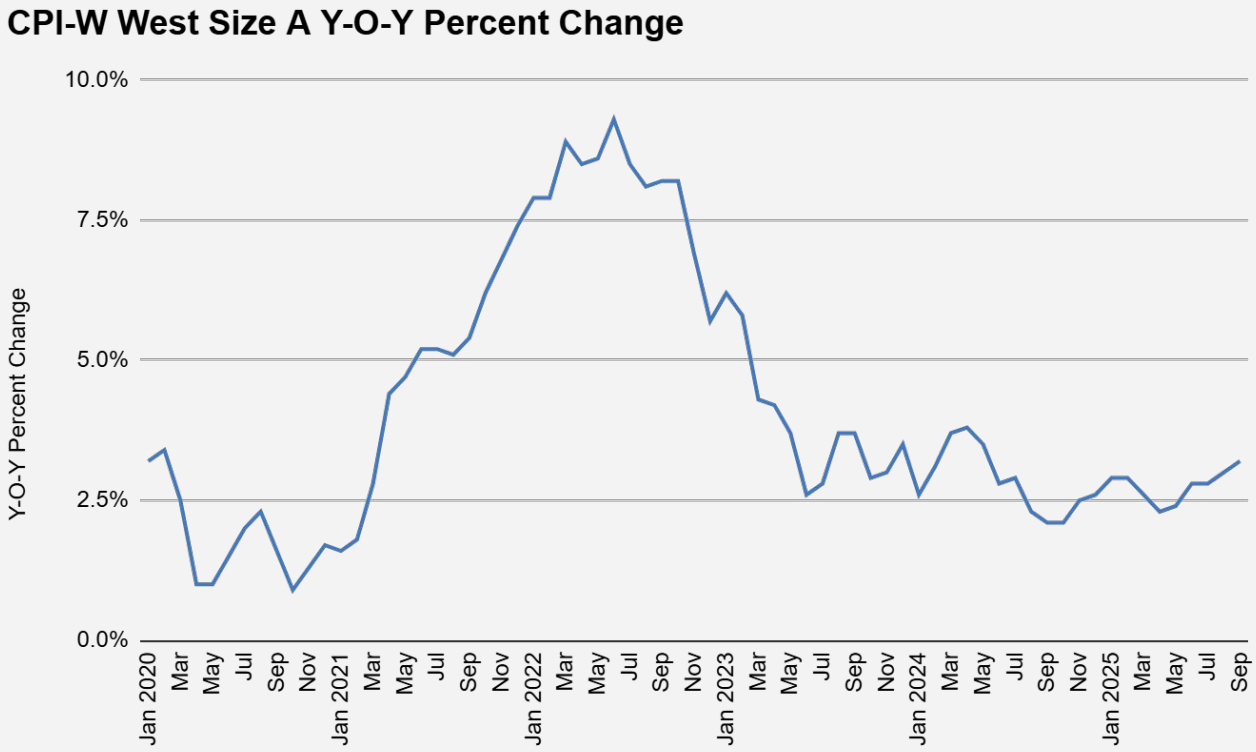
*Estimate to be updated later



FY 2026 General Fund Expenses

Personnel Expenses

Inflation



Inflation much improved, but needs to go and stay lower to put County on a more sustainable path.

Questions?

